TOPIC 01 · THE FIRM

The Firm: Types and Objectives

What a business is, the circular flow of income, business functions and the management process, the entrepreneur, and the legal forms of business ownership with the agency problem.

Source: Universidad Carlos III de Madrid · Topic 1_The Firm_Types Objectives.pdf (Prof. Carmen Paz-Aparicio), Slides 1-29

Central idea: a business transforms inputs into the goods and services that people need. Firms and households are tied together by a circular flow of goods, factors and money. Inside the firm, real, financial and management functions are coordinated by an entrepreneur, the person who holds the rights over the residual income. The law offers several forms of ownership, and in large corporations the separation between owners and managers gives rise to the agency problem.

The topic covers six points [Slide 2]: the concept and nature of business, the functional areas of a business, the management process, the role of engineers in business management, the enterprise and the entrepreneur, and the types of companies and their legal forms.

§ 1 What a business is [Slides 3-4]

A **business** is an economic activity that **transforms a set of inputs**, the factors of production, **into outputs**: goods and services aimed at satisfying customers' needs and wants.

Inputs (factors of production)	Outputs
Land (natural resources)	Goods
Labour	Services
Capital	
Entrepreneurship	

Making bread is a simple case. Salt, baking powder, flour, sugar and water are the inputs and bread is the output, but the ingredients do not become bread by themselves: something has to transform them, and that transformation is precisely the business activity.

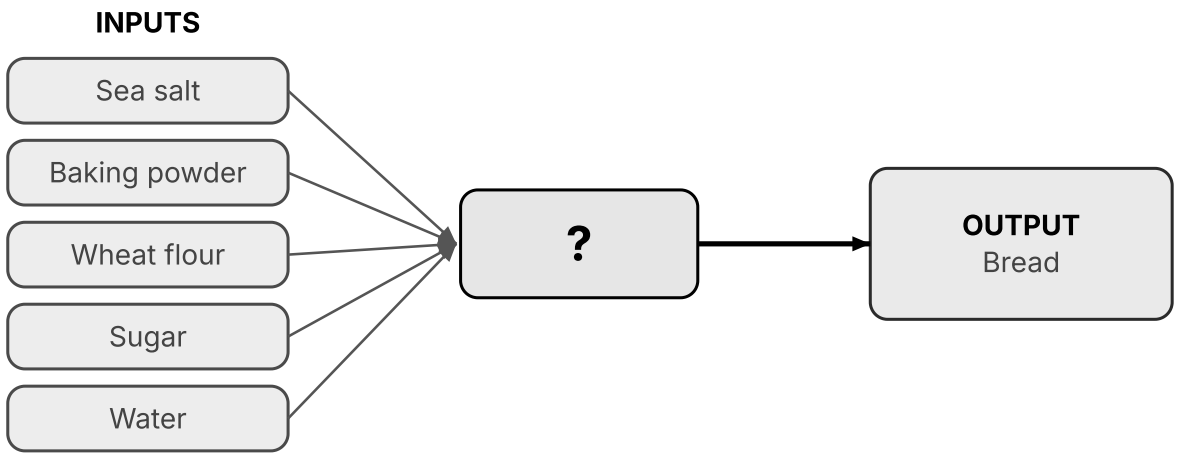


Figure 1. Production process of bread: ingredients (inputs) must be transformed by a business activity, the question mark, before they become the output.

§ 2 The circular flow of income [Slides 5-11]

The **circular flow of income** is a simple economic model of the reciprocal circulation of income between producers and consumers. The markets of goods and services and the markets of factors interact continuously and create a **double flow, real and monetary**; through it, the economy of a country decides **what to produce, how, and for whom** [Slide 5].

Two economic agents take part [Slide 6]:

- **Households** play a double role [Slide 7]: they **own the factors of production** (land, labour, capital, technology and know-how) and they are the **fundamental units of consumption**.
- **Firms** use the factors supplied by households to produce the goods and services that households demand [Slide 8].

The exchange between them takes place in two markets:

- In the **factor markets**, such as the labour market and the stock-exchange market, households deliver inputs to firms and receive incomes in return: **wages, rents and dividends** [Slide 9].
- In the **market of goods and services**, firms sell what they produce to households and collect the money that households spend [Slide 10].

Every exchange therefore has two sides [Slide 11]. **Real flows** are the goods, services and factors themselves; **financial flows** are their monetary compensation, which runs in the opposite direction. What the firm keeps after paying for the factors is its **profit**.

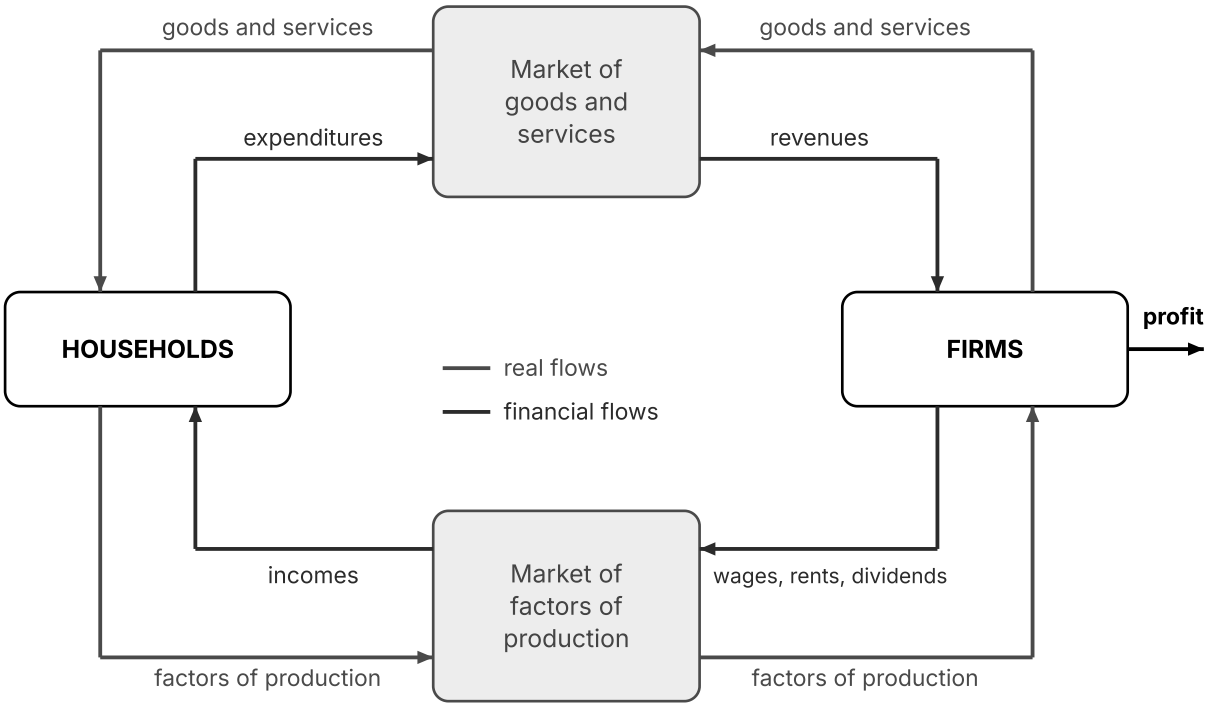


Figure 2. Circular flow of income: real flows (goods, services, factors) run one way and financial flows (expenditures, revenues, wages, rents, dividends) run the opposite way through the two markets.

§ 3 The nature of business: market and enterprise [Slide 12]

Economics studies how people and societies choose to use **scarce resources** (the factors of production) to satisfy **unlimited wants**. These wants are met through **specialization**, that is, the division of labour. Specialization in turn requires **coordination**, and coordination can be carried out in two ways: by the **market** or by the **enterprise**. An enterprise appears because there is a **dissatisfied need**.

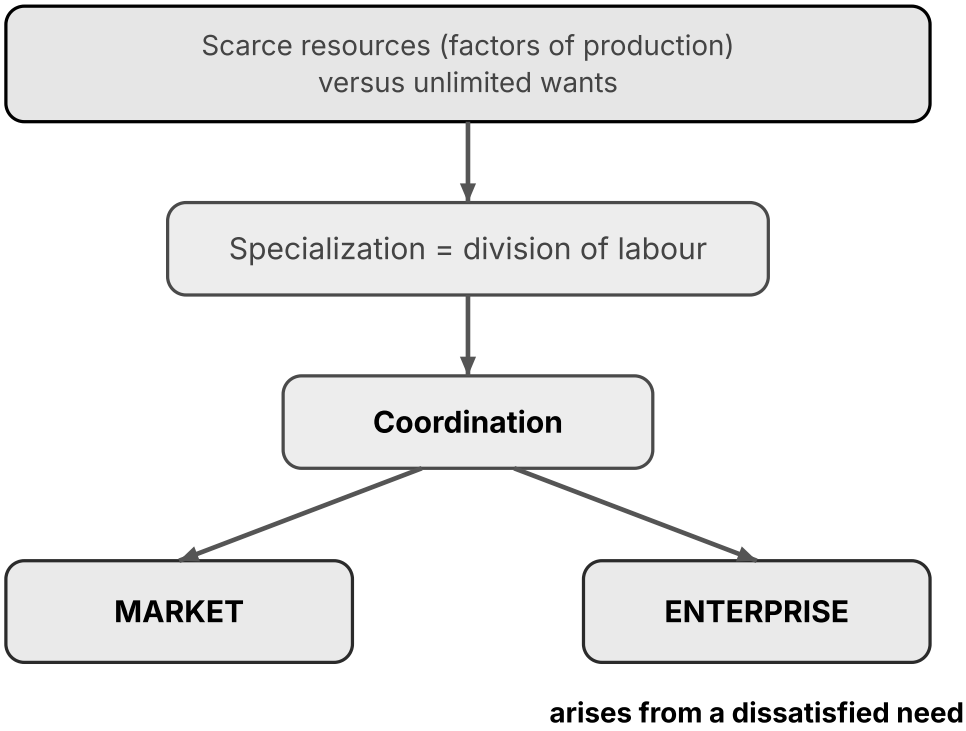


Figure 3. How needs are satisfied: specialization calls for coordination, which is provided either by the market or by the enterprise.

§ 4 Business functional areas [Slide 13]

The functions of a business fall into three groups:

- **Real functions** turn inputs into outputs through the real activity: functions related to **supply** (acquisition of inputs), to **production** and to **marketing**, plus **support** functions such as Human Resources or Information Systems.
- **Financial functions** run alongside the real cycle. The firm raises funds (searches for financial resources), pays for the acquisition of inputs, receives revenues from sales, and returns capital and interests to those who provided the funds. They include the functions related to **financing** and to **investing**.
- **Management functions**: **planning**, **organization** and **control**.

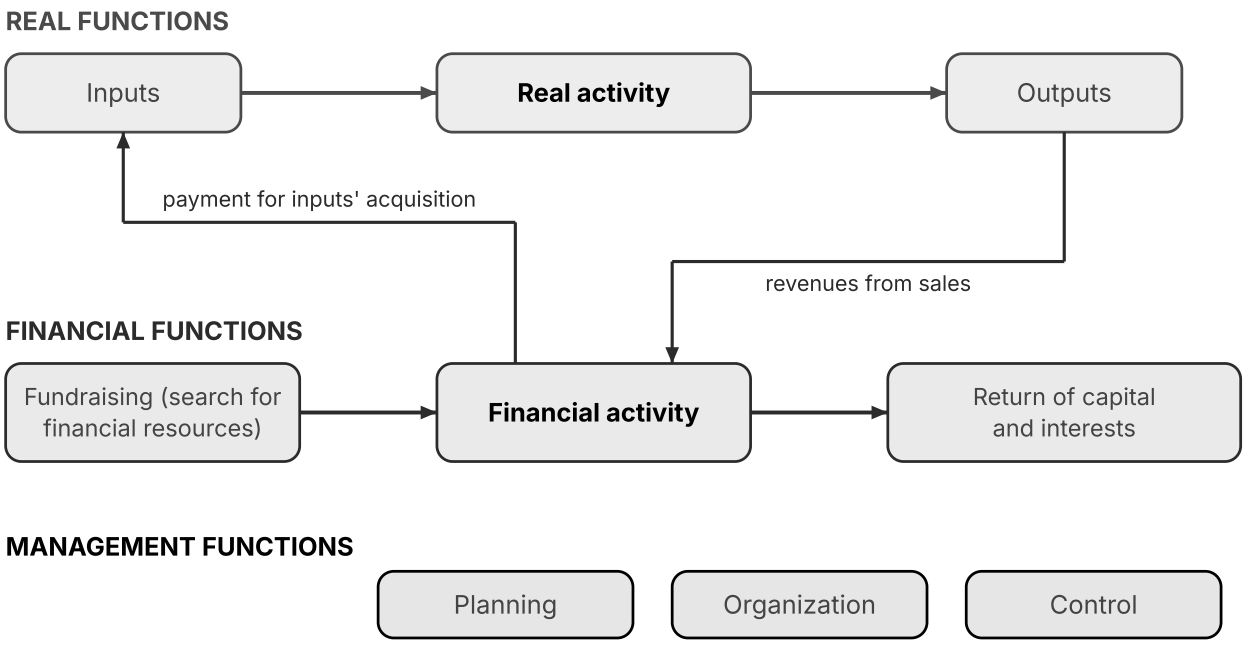


Figure 4. Business functional areas: the real cycle (inputs, real activity, outputs), the financial cycle that runs alongside it, and the management functions that govern both.

§ 5 The management process [Slide 14]

Managing consists of four activities, as formulated by Henri Fayol (1841-1925), which are repeated as a cycle around one common aim, **achieving the organization's stated purpose**:

Stage	Content
Planning	Defining goals, establishing strategy and developing subplans to coordinate activities
Organizing	Determining what needs to be done, how it will be done and who is to do it
Leading	Directing and motivating all involved parties and resolving conflicts
Controlling	Monitoring activities to ensure that they are accomplished as planned

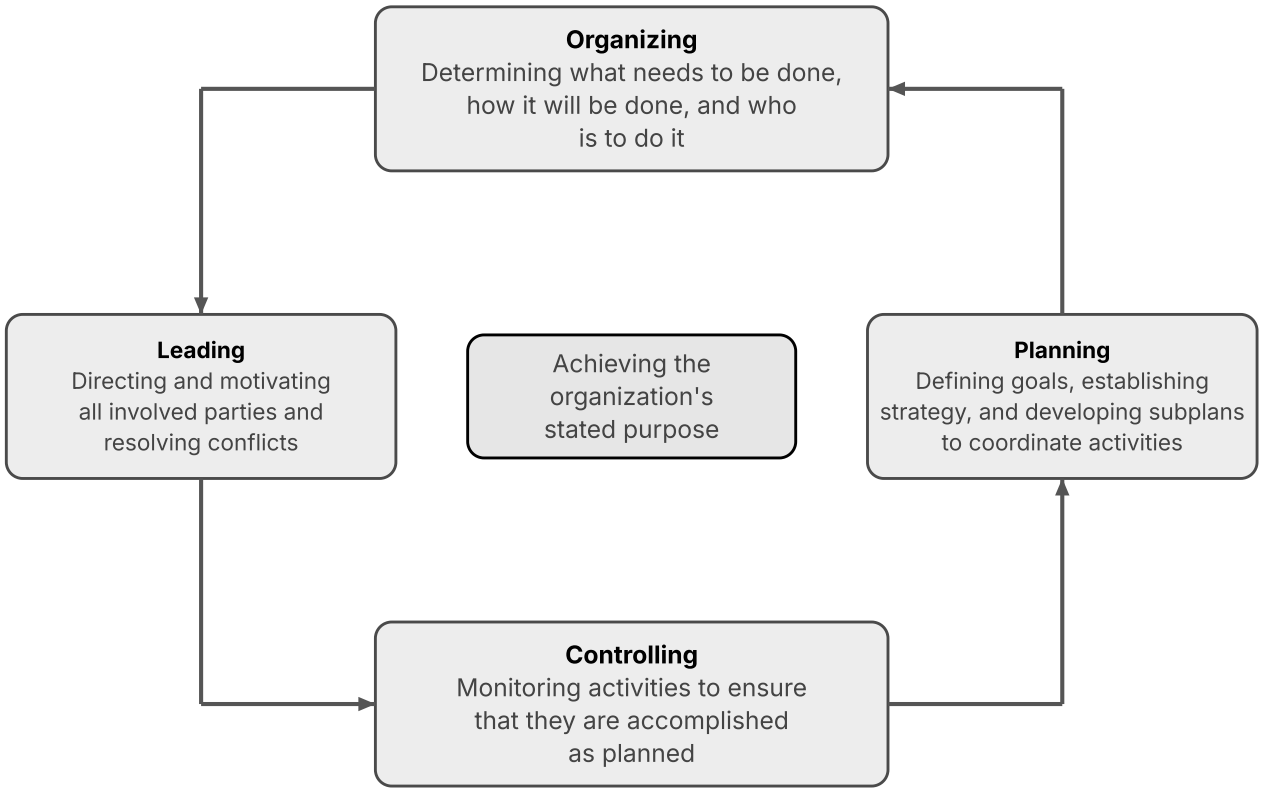


Figure 5. The management process as a cycle: planning, organizing, leading and controlling, all aimed at achieving the organization's stated purpose (Henri Fayol).

§ 6 The role of engineers in business management [Slide 15]

Engineers bring to management:

- effective project planning, time management and problem solving;
- attention to detail;
- experience in data processing;
- computer skills and technical knowledge.

§ 7 The enterprise and the entrepreneur [Slides 16-18]

7.1 Definitions

An **entrepreneur** is a risk taker who starts and operates a business in the hope of making a profit. **Entrepreneurship** is the process of bringing land, labour and capital together and taking the risk involved in producing a good or service in the hope of making a profit [Slide 16].

There is no conclusive agreement on who the entrepreneur is or on his or her role in the enterprise. The duties are especially unclear in big companies, where owners, management directors and moneylenders each seem to share some of the characteristics attributed to a single person, the entrepreneur [Slide 16].

7.2 Four views of the entrepreneur [Slide 17]

The entrepreneur as...	Author
Coordinator	
Risk taker	Knight, 1921
Innovator	Schumpeter, 1950
"On alert"	Kirzner, 1973

Putting the four views together, the **functions of the entrepreneur** are to coordinate and control the productive process, ensure the payment of the factors of production, take risky decisions, innovate, and detect new business opportunities.

7.3 The entrepreneur as the holder of rights [Slide 18]

The internal organization of an enterprise is **teamwork**, and team production requires a **controller**. The incentive to take on that task comes from four rights:

- to receive the **residual income** or surplus;
- to **control and reassign** the other factors of production;
- to be the **central party in all the contracts** signed with the inputs (raw materials, capital, human resources);
- to **sell** these rights.

The **entrepreneur is the person who holds all these rights**.

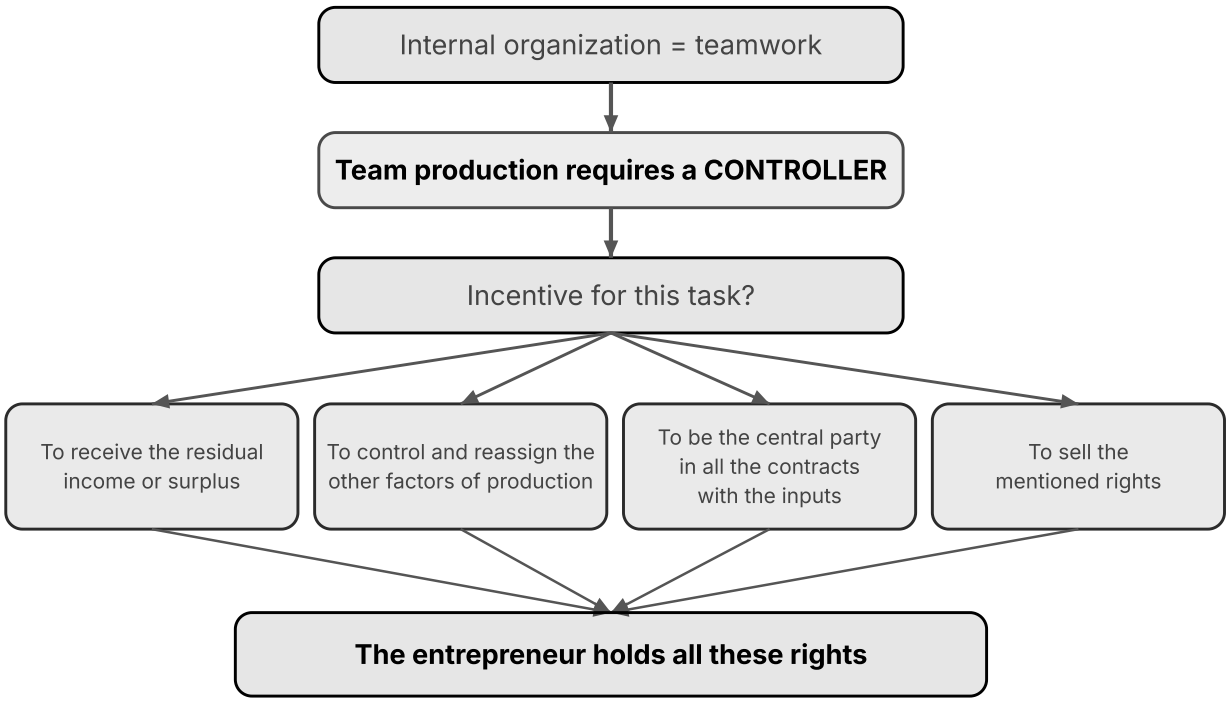


Figure 6. Why someone supervises team production: the controller is rewarded with four rights, and whoever holds them all is the entrepreneur.

§ 8 Types of enterprises: classification criteria [Slide 19]

Criterion	Classes
Economic: sector	Primary, secondary, tertiary
Economic: size	Big, medium, small
Economic: scope of the business	One market or multi-market; national or multinational
Legal: ownership of the factors of production	Private companies; state-owned companies
Legal: main forms of business ownership	Sole proprietorship; partnership; corporation

§ 9 Forms of business ownership [Slide 20]

The forms of ownership are the **sole proprietorship**, the **partnership** (general partnership or limited liability partnership, LLP), the **corporation**, and **other forms** such as cooperative associations, joint ventures and mutual companies.

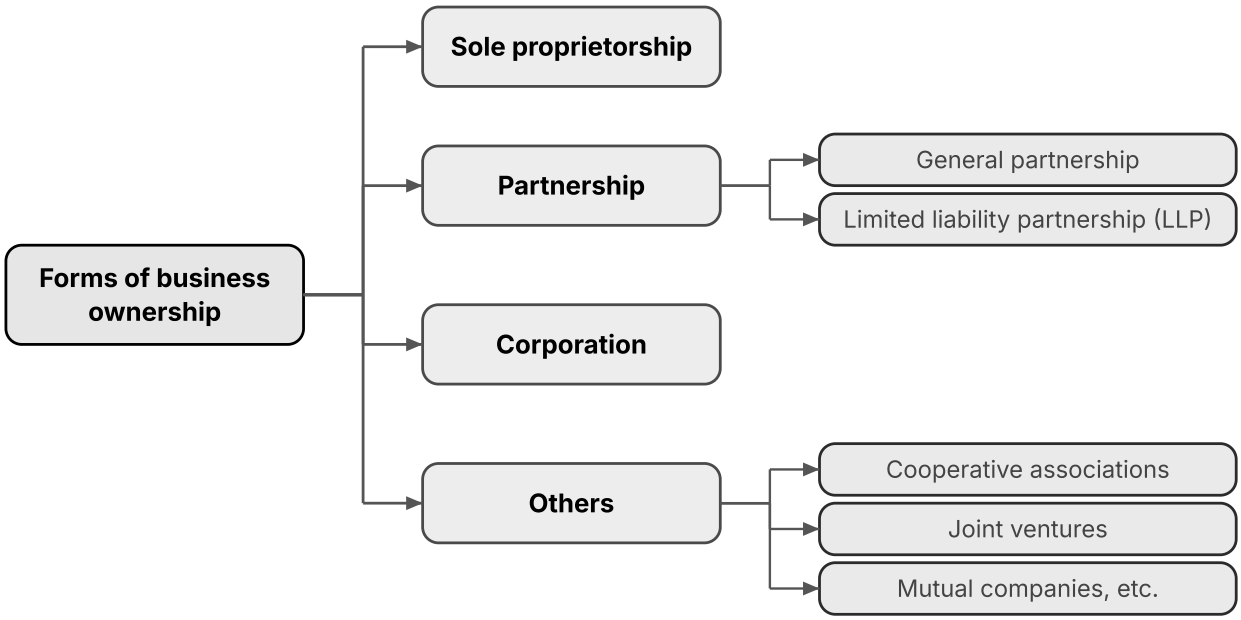


Figure 7. Forms of business ownership: sole proprietorship, partnership (general or limited liability), corporation, and other forms such as cooperatives, joint ventures and mutual companies.

§ 10 The sole proprietorship [Slide 21]

A **sole proprietorship** is a business owned by **one person**, who assumes all the risk, takes the decisions and looks for business opportunities, and therefore **owns all the rights**.

Advantages	Disadvantages
Simple to start	Unlimited financial liability
The proprietor owns all the profits	Hard to raise funds for expansion

Advantages	Disadvantages
Personal satisfaction (being your own boss)	Often no one to share management responsibilities (one person's talents and skills)
Sole decision maker	Impermanence
No tax on the business as distinct from the owner	
Easy to dissolve	

§ 11 The partnership [Slides 22-23]

A **partnership** is an association of **two or more persons** who carry on a business for profit as **co-owners**. It is formed through a **partnership agreement**, a written contract between the owners that identifies the business and sets out the partners' rights and duties: name, location, type of business, sharing of profits, dissolution of the partnership, and so on [Slide 22].

Advantages	Disadvantages
Few restrictions on starting	Unlimited and joint financial liability
Pooling of funds, talents and borrowing power	Potential for personal disagreements
More chance to specialize than in a sole proprietorship	Relative impermanence
No tax on the business as distinct from the owners	Frozen investment

§ 12 The corporation [Slide 24]

A **corporation** is a legally chartered organization that is a **separate legal entity** from its owners and has most of the rights of a person.

Advantages	Disadvantages
Separate legal entity (the shareholders are the owners)	Special and double taxation
Limited financial liability of the owners	Complex and costly to form and to dissolve
Permanence (it can exist forever)	Government regulation and public disclosure requirements
Easy transfer of ownership (shares)	
Greater financial capability	

The three main forms side by side

Feature	Sole proprietorship	Partnership	Corporation
Owners	One person	Two or more co-owners	Shareholders
Liability	Unlimited	Unlimited and joint	Limited

Feature	Sole proprietorship	Partnership	Corporation
Taxation	No tax on the business as distinct from the owner	No tax on the business as distinct from the owners	Special and double taxation
Permanence	Impermanent	Relatively impermanent	Permanent
Funds	Hard to raise	Pooled	Greater financial capability
Starting and ending	Simple to start, easy to dissolve	Few restrictions on starting	Complex and costly

§ 13 Separation of ownership and control: the agency problem [Slides 25-26]

In large corporations the **Board of Directors** guides the business, and the company is run by **managers**: professional employees who take decisions and assume risks. This separates ownership (the shareholders) from control (the managers) and creates a problem [Slide 25]:

- managers may look for their **own benefit**, and the shareholders do not control the way they act;
- managers may take decisions in their own interest, disregarding the effect on shareholders;
- shareholders and managers have **different access to information** and **different objectives**;
- shareholders have neither enough information to assess the managers' performance nor incentives to do so, or to improve the management of the business.

The result is a **conflict of interest between ownership and control**: the **agency problem**.

The solution is for shareholders to be able to control the way managers act, so that they do not pursue their own benefit [Slide 26]. The **mechanisms of control** are:

- selecting the **Board of Directors**;
- **contracts** signed with managers, linked to goals;
- requesting **audits**;
- as an additional mechanism, **indicators**.

Increasingly, the shareholders who own large blocks of shares are the ones taking the decisions.

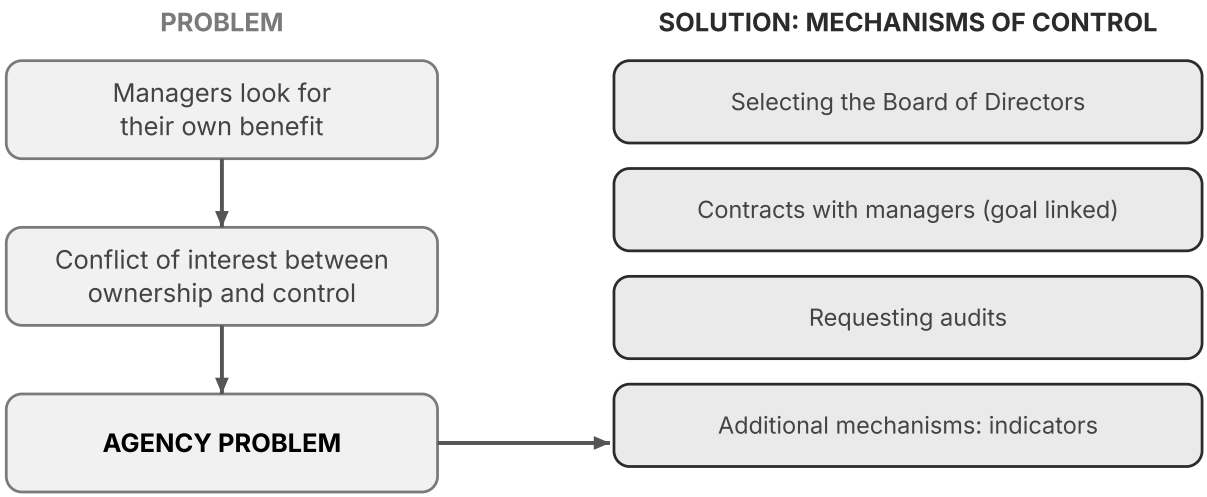


Figure 8. Separation of ownership and control: the chain that leads to the agency problem and the mechanisms shareholders use to control managers.

§ 14 The cooperative [Slides 27-28]

A **cooperative association** is an incorporated organization whose **user-members**, who are also its owners, get back any revenue left after expenses are paid [Slide 27]. It follows five principles:

1. Membership is open.
2. It is owned and democratically controlled by its members.
3. Economic benefits are distributed in proportion to each member's level of participation in the cooperative.
4. It is based on the values of self-help, self-responsibility, democracy and equality.
5. Its members believe in the ethical values of honesty, openness, social responsibility and caring for others.

Common types of cooperative [Slide 28]:

- **Employee credit unions** accept savings deposits from members, who own shares in the co-op, and lend to members: savers receive interest and borrowers pay it.
- **Agricultural co-ops** help member farmers market their products.
- **Buying co-ops** help members buy products at lower prices.
- **Consumer co-ops** run customer-owned retail facilities: consumers form a buying pool to obtain quantity discounts and to replace wholesalers and retailers.

§ 15 Other forms of business ownership [Slide 29]

- In a **limited partnership**, one or more of the partners, but not all of them, are liable for the firm's debts only up to the amount they have invested in it.
- A **joint venture** is a special type of partnership set up by individuals or firms to accomplish a specific task or project. It is very important and common in international business.